

ECON 0100 | Vignette C1 | Tariffs

Due in Recitation. Vignettes are a certificate of the work done together in Recitation.

Members of the wizarding world have preferences for pumpkin pasties according to the following demand curve:

$$P_d = 14 - \frac{1}{2}Q_d$$

Pumpkin pasties are produced by many sellers according to the following supply curve:

$$P = 2 + \frac{1}{2}Q_s$$

Prices are in galleons and quantity is in pasties.

Q1 | The UK's Pumpkin Pasties

Economic historians remember a time before the Ministry lifted barriers to exports and imports of pumpkin pasties. The global price was 6 galleons. However, due to the trade barriers the UK did not have access to this market for pasties. The UK's domestic supply and demand curves are the ones above.

Use a graph and algebra to illustrate what happened to the market after the trade barrier was lifted.

a) Imports or exports? *imports, exports*

b) Quantity demanded: _____ Quantity supplied: _____ Imports: _____

c) Consumer surplus before: _____ after: _____

d) Producer surplus before: _____ after: _____

e) Change in total surplus: _____

f) Buyers: *gain, lose* Sellers: *gain, lose*

Q2 | Egypt's Pumpkin Pasties

While the supply curve is very similar to that of the UK, demand for pumpkin pasties is much lower in Egypt's wizarding community, leading to a domestic price below the global price. Use a graph (*but no algebra*) to illustrate what happened to the market after Egypt lifted their ban on international trade of pumpkin pasties.

- a) Egypt *imports, exports*
- b) Buyers: *gain, lose* Sellers: *gain, lose*
- c) Total surplus: *rises, stays the same, falls*

Q3 | A Rising World Price

Back in the UK, suppose the global price rises from 6 to 7 galleons.

- a) Quantity demanded: _____ Quantity supplied: _____ Imports: _____
- b) Imports have: *risen, stayed the same, fallen*

Q4 | International Pumpkin Pasties

Economic historians in the wizarding world remember a time before the Ministry had begun meddling with the domestic market. In those earlier days, trade barriers had been lifted for exports of pumpkin pasties to international magical markets with a world price of 12 galleons. At the time, the Ministry of Magic used this opportunity to pad its coffers without facing the political backlash associated with a domestic tax, instead imposing an import tariff of 1 galleon. The supply and demand curves:

$$P = 17 - \frac{1}{6}Q_D$$

$$P = 2 + \frac{2}{3}Q_S$$

Use a graph to illustrate what happened to the market after the tariff was imposed.

What is the area of the deadweight loss from the tariff? _____

Q5 | International Pumpkin Pasties

Economic historians in the wizarding world remember a time before the Ministry had begun meddling with the domestic market. In those earlier days, trade barriers had been lifted for exports of pumpkin pasties to international magical markets with a world price of 16 galleons. The Ministry of Magic imposed an export subsidy of 1 galleon. The supply and demand curves:

$$P = 17 - \frac{1}{6}Q_D$$

$$P = 2 + \frac{2}{3}Q_S$$

Use a graph to illustrate what happened to the market after the export subsidy was imposed.

What is the area of the deadweight loss from the subsidy? _____